Goldman Sachs Research

Equity Research

21 July 2026 | 4:53PM HKT

CHINA SOFTWARE

WAIC 2026: new AI product launches; Kingsoft Office down to Sell on stretched valuation

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During WAIC Shanghai 2026, we saw new product launches across AI foundation models, AI agents/ applications, and edge AI devices (e.g. AI smartphones, AI earphones). On enterprise software, Kingsoft Office launched WPS Comate as an AI agent to complete complicated tasks; Infinigence AI announced InfiniClawBox to help users on AI contract and document analysis. On multi-modal AI, we saw emerging new products, including Deemos Hyper3D Rodin for 3D content generation, and FrameX-AI video platform to generate interactive video content for users. With enhanced on-device AI models, we expect to see rising adoption of AI agents on edge devices for better experiences, like Nubia Doubao AI smartphones and Honor Robot Phone based on Qwen AI model. Overall, we are positive on the roll-out of agentic AI new products to drive queries and token consumption, and expect more focus on AI agent ROI for long-term adoption.

In this report, we downgrade Kingsoft Office to Sell from Neutral on stretched valuation, considering that the WPS AI paying ratio and user adoption may take time to ramp up, which could suggest our previous assumptions on ToB (Business) and ToC (Consumer) subscription businesses may have been too aggressive. Our new TP is Rmb201 (vs. previously at Rmb326). More details within.

Kingsoft Office (688111.SS): WPS AI paying ratio may take time to ramp;

Down to Sell on stretched valuation

688111.SS	12m Price Target: Rmb201	Price: Rmb244.27	Downside: 17.7%

Sell	GS Forecast				
		12/25	12/26E	12/27E	12/28E
Market cap: Rmb112.6bn / $16.6bn	**Revenue (Rmb mn) New**	**5,928.7**	**7,264.7**	**8,881.4**	**11,192.7**
Enterprise value: Rmb109.4bn / $16.2bn	Revenue (Rmb mn) Old	5,928.7	7,415.5	9,612.7	12,076.3
3m ADTV :Rmb2.2bn/ $325.4mn	EBITDA (Rmb mn)	1,390.8	2,193.5	2,875.4	3,798.0
China	**EPS (Rmb) New**	**3.97**	**8.73**	**6.48**	**8.49**
Greater China Technology	EPS (Rmb) Old	3.97	8.87	7.18	9.41
	P/E (X)	77.5	28.0	37.7	28.8
M&A Rank: 3	P/B (X)	11.1	6.9	6.0	5.1
	Dividend yield (%)	0.0	0.5	0.5	0.6
	CROCI (%)	34.1	35.2	20.7	22.6
		3/26	6/26E	9/26E	12/26E
	EPS (Rmb)	4.73	1.10	1.35	1.54

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 20 Jul 2026 close.

Kingsoft Office launched (1) the WPS AI agent Lingxi professional version for ToC (Consumer) users, and (2) WPS AI Comate for ToB (Business) clients during the WAIC. We remain positive on the continuous roll-out of AI features to drive users' WPS AI adoption with improving quality and efficiency, while we expect the paying ratio of WPS AI takes time to ramp up due to (1) emerging AI-native products from peers with competitive pricing, and (2) lack of AI user cases to deliver positive ROI to end users. On enterprise clients, the WPS 365 subscription business maintained strong growth, integrating the enterprise knowledge base and AI features, while the ToB subscription is still small at the current stage.

We revise down 2026-28E earnings by 2%-10% mainly due to longer time to see AI adoption, reflecting lower revenues of ToB/ ToC subscription. Despite these cuts, our net income growth estimates remain strong, +29% CAGR in 2026E-28E. With lower FCF of the updated DCF valuation, our 12M TP moved to Rmb201 (vs. previously at Rmb326), suggesting 31x our implied P/E (vs. 45x 2027E implied previously), which is in lower than the company's avg. -1std P/E at 44x and indicates the company's valuation is stretched. All said, our 12M TP moves to Rmb201 (vs. Rmb326 previously), implying 10% downside or -9.5% total return potential (vs coverage average return at 62%), and we downgrade Kingsoft Office from Neutral to Sell.

ToB/ ToC WPS AI new product launches: During WAIC in July 2026, the company released two AI agents, including (1) WPS AI agent Lingxi professional version for ToC users, targeting to complete more complicated office tasks through document/ code/ browsers, and (2) WPS AI Comate for ToB clients, integrating enterprise knowledge. Management highlights the Lingxi AI agent acts like a "Personal AI Office assistant", which is capable of understanding context, processing complicated tasks, and polishing final deliveries. We see companies are enhancing AI features to better improve users' efficiency, while still taking time to see a growing paying ratio for WPS AI.

Earnings revision: We revise down Kingsoft Office earnings by 2%/ 10%/ 10% in 2026-28E mainly on lower revenues and lower-than-expected Non-OP. The revenues cut to ToC subscriptions reflects (1) longer-than-expected time to see WPS AI adoption and revenue contribution, and (2) weak spending by small enterprise clients. We revise up GM by 0.1ppts-0.2ppts in 2026-28E on mix changes and keep Opex ratio largely unchanged.

Exhibit 1: Earnings revision

	2026E			2027E			2028E		
Rmb m	New	Old	Diff %	New	Old	Diff %	New	Old	Diff %
Revenues	7,265	7,415	-2%	8,881	9,613	-8%	11,193	12,076	-7%
GP	6,232	6,358	-2%	7,586	8,195	-7%	9,552	10,297	-7%
OP	2,106	2,148	-2%	2,790	3,007	-7%	3,714	4,002	-7%
Net income	4,065	4,133	-2%	3,029	3,361	-10%	4,001	4,435	-10%
Margins									
GPM	85.8%	85.7%	0.1 ppts	85.4%	85.2%	0.2 ppts	85.3%	85.3%	0.1 ppts
NPM	56.0%	55.7%	0.2 ppts	34.1%	35.0%	-0.9 ppts	35.7%	36.7%	-1.0 ppts

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Revenues changes by segment

Revenues (New, Rmb m)	2024	2025	2026E	2027E	2028E	2029E	2030E
ToC Subscription	3,283	3,626	4,456	5,573	7,091	8,892	10,713
ToB Subscription	1,007	1,492	2,019	2,555	3,379	4,353	5,606
ToB On-premise solution	614	621	600	564	532	506	482
Internet Advertising and Overseas	217	190	190	190	190	190	190
Total	**5,121**	**5,929**	**7,265**	**8,881**	**11,193**	**13,940**	**16,991**
Revenues (Old, Rmb m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
ToC Subscription	3,283	3,626	4,585	6,212	7,751	9,579	11,605
ToB Subscription	1,007	1,492	2,041	2,629	3,567	4,718	6,239
ToB On-premise solution	614	621	600	582	568	557	548
Internet Advertising and Overseas	217	190	190	190	190	190	190
Total	**5,121**	**5,929**	**7,415**	**9,613**	**12,076**	**15,043**	**18,583**
Change	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
ToC Subscription	0%	0%	-3%	-10%	-9%	-7%	-8%
ToB Subscription	0%	0%	-1%	-3%	-5%	-8%	-10%
ToB On-premise solution	0%	0%	0%	-3%	-6%	-9%	-12%
Internet Advertising and Overseas	0%	0%	0%	0%	0%	0%	0%
Total	**0%**	**0%**	**-2%**	**-8%**	**-7%**	**-7%**	**-9%**

Source: Company data, Goldman Sachs Global Investment Research

GS vs. consensus: Our NI estimate in 2026E is 24% higher than consensus mainly on higher non-OP, given the company's 1Q26 NI beat at Rmb2.2bn on higher-than-expected investment income, while the consensus hasn't fully reflected. Our NI estimates in 2027E is 5% higher than consensus on higher revenues on rising WPS 365 subscription revenues for ToB users, while we remain concern on the AI adoption and paying ratio of ToC users.

Exhibit 3: GSe vs. Bloomberg consensus

	2026E			2027E		
Rmb m	GS	Cons.	Diff %	GS	Cons.	Diff %
Revenues	7,265	7,056	3%	8,881	8,394	6%
GP	6,232	6,061	3%	7,586	7,244	5%
OPM	2,106	2,012	5%	2,790	2,651	5%
Net income	4,065	3,291	24%	3,029	2,873	5%
Margins						
GPM	85.8%	85.9%	-0.1 ppts	85.4%	86.3%	-0.9 ppts
OPM	29.0%	28.5%	0.5 ppts	31.4%	31.6%	-0.2 ppts
NPM	56.0%	46.6%	9.3 ppts	34.1%	34.2%	-0.1 ppts

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Valuation: Our target price is derived from a DCF-based methodology to better capture long-term cash flow generation. We model stage 2 FCF growth in 2032E-2036E at 12% YoY (vs. previously at 25%, reflecting our lower estimates on ToB and ToC susbcription business), and terminal growth at 2%, which is consistent with our China Tech coverage. We discount the value at a WACC of 12.1%, with a COE of 12.1% (beta at 1.4, risk free rate at 3.0%, market risk premium at 6.5%). Our DCF based target price is Rmb201 (vs. previously at Rmb326). Our TP implied 2027E P/E is 31x (vs. previously at 45x), which is lower than the company's avg. -1std P/E at 44x, indicating the company's valuation is stretched. With 18% TP downside, we downgrade Kingsoft Office to Sell.

What would make us more positive/ Key upside risks:

1) Faster-than-expected new membership system transition; if we see faster than expected paying ratio of ToC user growth, supported by new features, there's upside risk to our current estimates.

2) Faster-than-expected ToB customer adoption; if the company's WPS 365 subscription business penetrates enterprise clients faster than expected, we see upside risks to earnings estimates.

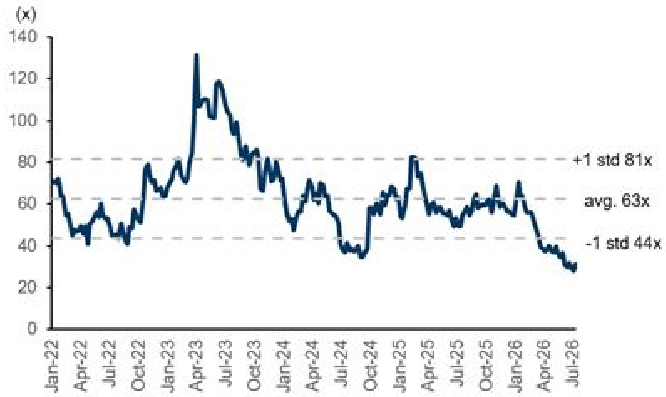
3) Faster-than-expected AI monetization. If the WPS AI adoption or user spending is higher than expected, it could cause upside risks to our current estimates.

Exhibit 4: Kingsoft Office DCF valuation

	Stage 1											Stage 2				
Rmb mn	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**	**2036E**
P&L																
Revenue	3,280	3,885	4,556	5,121	5,929	7,265	8,881	11,193	13,940	16,991	20,357					
YoY	*45%*	*18%*	*17%*	*12%*	*16%*	*23%*	*22%*	*26%*	*25%*	*22%*	*20%*					
Opex ratio	65.2%	66.3%	64.1%	61.3%	63.6%	56.8%	54.0%	52.2%	50.3%	48.5%	47.3%					
OP income	713	726	965	1,221	1,322	2,106	2,790	3,714	4,833	6,206	7,675					
YoY	*29%*	*2%*	*33%*	*27%*	*8%*	*59%*	*32%*	*33%*	*30%*	*28%*	*24%*					
Pretax income	1,119	1,198	1,390	1,750	1,953	4,461	3,329	4,396	5,817	6,807	8,244					
Net income	1,041	1,118	1,318	1,645	1,836	4,065	3,029	4,001	5,293	6,195	7,502					
YoY	*19%*	*7%*	*18%*	*25%*	*12%*	*121%*	*-25%*	*32%*	*32%*	*17%*	*21%*					
GPM	86.9%	85.0%	85.3%	85.1%	85.9%	85.8%	85.4%	85.3%	85.0%	85.0%	85.0%					
OPM	21.7%	18.7%	21.2%	23.9%	22.3%	29.0%	31.4%	33.2%	34.7%	36.5%	37.7%					
NPM	31.7%	28.8%	28.9%	32.1%	31.0%	56.0%	34.1%	35.7%	38.0%	36.5%	36.9%					
R&D spending (Rmb m)	1,082	1,331	1,472	1,696	2,095	2,128	2,420	2,929	3,503	4,095	4,784					
R&D%	33.0%	34.3%	32.3%	33.1%	35.3%	29.3%	27.2%	26.2%	25.1%	24.1%	23.5%					
# of ToC paying users (m units)	22.8	29.2	33.9	38.8	43.3	45.8	47.9	51.9	56.5	61.0	71.0					
ToC ARPU (Rmb)	64	70	78	85	84	97	116	137	157	175	175					
# of ToB paying users (m units)	5	7	9	9	11	12	13	15	17	19	22					
ToB ARPU (Rmb)	80	102	111	111	140	171	192	221	254	292	336					
Cash flow																
CCC	(103)	(118)	(163)	(177)	(171)	(189)	(189)	(189)	(189)	(189)	(189)					
Capex	(149)	(176)	(166)	(175)	(98)	(80)	(80)	(78)	(84)	(85)	(92)					
Capex to revenues	*5%*	*5%*	*4%*	*3%*	*2%*	*1%*	*1%*	*1%*	*1%*	*1%*	*0%*					
Free cash flow	**1,715**	**1,427**	**1,892**	**2,021**	**2,404**	**4,239**	**2,881**	**4,142**	**5,188**	**6,267**	**7,394**	**8,248**	**9,200**	**10,263**	**11,448**	**12,770**
YoY		-17%	33%	7%	19%	76%	-32%	44%	25%	21%	18%	12%	12%	12%	12%	12%
FCF yield	52%	37%	42%	39%	41%	58%	32%	37%	37%	37%	36%					
Terminal growth																2.0%
Terminal value																128,968
Discount factor							1.00	0.89	0.80	0.71	0.63	0.56	0.50	0.45	0.40	0.36
Present value of FCF							2,881	3,695	4,129	4,449	4,682	4,659	4,636	4,613	4,591	4,568
Enterprise value 2027E (Rmb m)							**89,038**									
Cash and equivalents (net)							4,824									
Equity value in 2027E (Rmb m)							**93,862**									
Value per share (Rmb)							**201**									
Implied 2027E P/E							**31x**									
Implied 2027E EV/S							**10x**									
WACC assumption (2027E)																
Risk free rate	3.0%															
Beta	1.40															
Market risk premium	6.5%															
Cost of equity	12.1%															
Cost of debt	6.0%															
Tax rate	15%															
Long-run Debt to Asset ratio	0.0%															
Equity /(debt+equity)	100.0%															
WACC	**12.1%**															

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Kingsoft Office 12M forward P/E



Source: Eikon Datastream

Exhibit 6: Kingsoft Office P&L summary

Rmb mn	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Income statement														
Revenue	4,556	5,121	5,929	7,265	8,881	11,193	1,301	1,356	1,521	1,750	1,613	1,584	1,950	2,117
Gross profit	3,886	4,360	5,096	6,232	7,586	9,552	1,119	1,141	1,315	1,521	1,397	1,346	1,667	1,822
Selling expense	(967)	(991)	(1,140)	(1,359)	(1,620)	(1,988)	(217)	(261)	(290)	(371)	(273)	(297)	(351)	(438)
G&A expense	(444)	(403)	(474)	(568)	(667)	(806)	(104)	(115)	(122)	(133)	(134)	(129)	(151)	(154)
R&D expense	(1,472)	(1,696)	(2,095)	(2,128)	(2,420)	(2,929)	(470)	(488)	(536)	(601)	(572)	(459)	(536)	(561)
OP income	965	1,221	1,322	2,106	2,790	3,714	315	262	351	394	405	447	611	642
Government subsidies	112	176	192	137	168	166	18	51	23	100	21	44	26	46
Pretax income	1,390	1,750	1,953	4,461	3,329	4,396	419	361	463	710	2,406	568	696	790
Net income	1,318	1,645	1,836	4,065	3,029	4,001	403	344	431	658	2,195	517	634	719
EBITDA	1,037	1,285	1,391	2,194	2,875	3,798	332	279	368	411	427	469	633	664
EPS (basic, Rmb)	2.85	3.56	3.97	8.73	6.48	8.49	0.87	0.74	0.93	1.42	4.73	1.10	1.35	1.54
Ratios														
R&D ratio	32%	33%	35%	29%	27%	26%	-36%	-36%	-35%	-34%	-35%	-29%	-28%	-27%
Opex ratio	64%	61%	64%	57%	54%	52%	62%	65%	63%	64%	61%	57%	54%	56%
Gov. subsidy to rev	2%	3%	3%	2%	2%	1%	1%	4%	1%	6%	1%	3%	1%	2%
Gov. subsidy to pre-tax income	8%	10%	10%	3%	5%	4%	4%	14%	5%	14%	1%	8%	4%	6%
Tax rate	5%	5%	7%	9%	9%	9%	6%	6%	7%	7%	9%	9%	9%	9%
Margins														
Gross margin	85.3%	85.1%	85.9%	85.8%	85.4%	85.3%	86.0%	84.1%	86.5%	86.9%	86.6%	85.0%	85.5%	86.1%
Operating margin	21.2%	23.9%	22.3%	29.0%	31.4%	33.2%	24.2%	19.3%	23.1%	22.5%	25.1%	28.2%	31.4%	30.3%
Pretax margin	30.5%	34.2%	32.9%	61.4%	37.5%	39.3%	32.2%	26.6%	30.4%	40.6%	149.1%	35.8%	35.7%	37.3%
Net margin	28.9%	32.1%	31.0%	56.0%	34.1%	35.7%	31.0%	25.4%	28.3%	37.6%	136.1%	32.6%	32.5%	34.0%
EBITDA margin	22.8%	25.1%	23.5%	30.2%	32.4%	33.9%	25.5%	20.6%	24.2%	23.5%	26.5%	29.6%	32.5%	31.4%
YoY														
Revenue	17%	12%	16%	23%	22%	26%	6%	14%	25%	17%	24%	17%	28%	21%
Gross profit	18%	12%	17%	22%	22%	26%	8%	13%	27%	19%	25%	18%	27%	20%
OP income	33%	27%	8%	59%	32%	33%	6%	-2%	51%	-7%	29%	71%	74%	63%
Pretax income	16%	26%	12%	128%	-25%	32%	8%	-5%	39%	9%	474%	57%	50%	11%
Net income	18%	25%	12%	121%	-25%	32%	10%	-3%	35%	9%	445%	50%	47%	9%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: Kingsoft Office Balance sheet and Cash flow statement

Rmb mn	2023	2024	2025	2026E	2027E	2028E
Balance Sheet						
Cash and equivalents	3,478	898	694	3,353	4,824	7,621
Accounts receivable	569	510	641	752	951	1,195
Inventory	1	1	1	11	3	15
Other current assets	6,098	4,696	9,871	9,871	9,871	9,871
Current assets	**10,147**	**6,105**	**11,206**	**13,986**	**15,649**	**18,701**
Net PP&E/Fixed assets	69	297	453	467	473	476
Net intangibles	87	79	73	59	47	37
Other long-term assets	3,671	9,432	6,423	6,423	6,423	6,423
Non-current assets	**3,827**	**9,808**	**6,950**	**6,948**	**6,943**	**6,937**
Total assets	**13,974**	**15,913**	**18,156**	**20,935**	**22,592**	**25,638**
Accounts payable	453	446	496	784	822	1,213
Short-term debt	140	213	106	106	106	106
Other current liabilities	2,560	2,804	3,340	2,375	1,511	886
Current liabilities	**3,154**	**3,462**	**3,942**	**3,265**	**2,439**	**2,204**
Long-term debt	-	-	-	-	-	-
Other long-term liabilities	801	1,014	1,361	1,361	1,361	1,361
Non-current liabilities	**801**	**1,014**	**1,361**	**1,361**	**1,361**	**1,361**
Total liabilities	**3,954**	**4,476**	**5,302**	**4,626**	**3,800**	**3,565**
Common stock	462	463	463	463	463	463
Retained earnings	4,294	5,533	6,956	10,411	12,895	16,176
Other common equity	5,193	5,360	5,434	5,434	5,434	5,434
Total common equity	**9,949**	**11,356**	**12,853**	**16,309**	**18,792**	**22,073**
Minority interest	71	81	-	-	-	-
Total equity	**10,020**	**11,437**	**12,853**	**16,309**	**18,792**	**22,073**
BVPS	21.49	24.55	27.76	35.01	40.17	46.85
Cash conversion cycle						
Net receivable days	43	38	35	35	35	35
Inventory days	1	1	0	2	2	2
Net payable days	207	216	206	226	226	226
Cash conversion cycle	(163)	(177)	(171)	(189)	(189)	(189)
Ratios						
ROE (common equity)	14%	15%	15%	28%	17%	20%
ROA	10%	11%	11%	21%	14%	17%
Net debt	(3,338)	(685)	(588)	(3,247)	(4,719)	(7,515)
Net debt to total equity	-33%	-6%	-5%	-20%	-25%	-34%
Net cash per share (Rmb)	7.21	1.48	1.27	6.97	10.09	15.95
Total liabilities to total assets	28%	28%	29%	22%	17%	14%
Cash flow statement						
Net income	1,318	1,645	1,836	4,065	3,029	4,001
Minority interest add-back	(3)	10	(15)	-	-	-
Depreciation and amortization add-back	72	64	68	87	86	84
(Increase)/decrease in working capital	78	52	(81)	167	(154)	135
Other operating cash flow items	593	424	692	(0)	-	-
Cash flow from operating	**2,058**	**2,196**	**2,502**	**4,319**	**2,961**	**4,220**
Capital expenditure	(166)	(175)	(98)	(80)	(80)	(78)
Other investment cash flow items	(5,044)	(4,099)	(1,869)	(1,000)	(800)	(800)
Cash flow from investing	**(5,210)**	**(4,274)**	**(1,967)**	**(1,080)**	**(880)**	**(878)**
Dividends paid	(337)	(406)	(482)	(580)	(610)	(545)
Change in common stock	1	1	1	-	-	-
Increase/(decrease) in short-term debt	(23)	72	(107)	-	-	-
Increase/(decrease) in long-term debt	-	-	-	-	-	-
Other financing cash flow items	(4,851)	(3,941)	(1,378)	(500)	(270)	(333)
Cash flow from financing	**(5,210)**	**(4,274)**	**(1,967)**	**(1,080)**	**(880)**	**(878)**
Net change in cash	(3,537)	(2,580)	(204)	2,659	1,471	2,796
FCF	1,892	2,021	2,404	4,239	2,881	4,142
Ratio						
Capex to revenues	4%	3%	2%	1%	1%	1%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Kingsoft Office

Valuation methodology: We are Sell rated on Kingsoft Office with a 12-month target price of Rmb201, which is derived from a two-stage DCF, where we incorporate a WACC of 12.1% and a terminal growth at 2% YoY.

Key upside risks: 1) Faster-than-expected new membership system transition; 2) Faster-than-expected ToB customer adoption; and 3) Faster-than-expected AI monetization.

Investment Thesis - Kingsoft Office

Kingsoft Office is the largest domestic office productivity software provider in terms of revenue in China. Its major office productivity software, called WPS, provides office software suites and offers additional value-add services such as cloud storage, document templates, and collaboration. We are Sell rated on Kingsoft Office. We may turn more positive if we see accelerated AI monetization. We view the current market valuation of Kingsoft Office as stretched with implied P/E lower than company's avg. -1std P/E.

Disclosure Appendix

Reg AC

We, Allen Chang, Verena Jeng and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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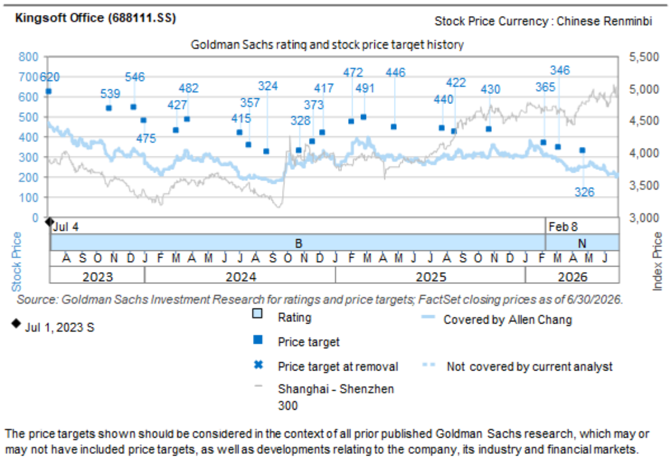
Price target and rating history chart(s)



Target price history table(s)

Kingsoft Office (688111.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
25-Apr-26	326.00	249.12
09-Mar-26	346.00	281.09
08-Feb-26	365.00	303.62
28-Oct-25	430.00	337.21
20-Aug-25	422.00	300.99
28-Jul-25	440.00	301.53
28-Apr-25	446.00	283.23
27-Feb-25	491.00	352.50
05-Feb-25	472.00	371.11
11-Dec-24	417.00	333.01
22-Nov-24	373.00	305.50
27-Oct-24	328.00	264.50
26-Aug-24	324.00	190.00
22-Jul-24	357.00	208.24
04-Jul-24	415.00	191.42
25-Mar-24	482.00	319.00
04-Mar-24	427.00	289.45
04-Jan-24	475.00	271.75
14-Dec-23	546.00	336.94
28-Oct-23	539.00	293.12

Price targets shown in table(s) are unadjusted for corporate actions.

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